



What was the strategy when you started the bank?

Our strategy was clear: address the needs of middle India. Today, a micro-borrower approaches different institutions for housing, two-wheeler, or personal loans. These institutions generally look at the cash flow of a borrower rather than his or her net worth. Borrowers do not want to go to multiple places. They want all those services under one roof. In places like Singapore and Hong Kong, the housing loan institution becomes your anchor bank. Based on the net worth, the borrower gets new loans from the same bank because it knows the borrower and the value of the mortgaged property. Every time I visited smaller markets, the biggest gap I noticed was in asset building. Therefore, we launched affordable housing loans and loans against property (LAP). Our average ticket size is close to ₹12 lakh... Today, affordable housing and LAP make up around 40% of our portfolio... If you look at credit cycles over the decades, property has been the most resilient asset class... We decided to become an anchor bank. We had 5.4 million active customers when we started the bank, and in total, there were 8 million customers available for future cross-selling. Today, we have 12 million customers.



Your bank has a low CASA ratio. How do you plan to

improve the ratio?

In six years, we have built a CASA ratio of 20%. We will increase this by 200–300 basis points every year. We will gradually increase it to 30% in the next three years. If we want to increase CASA, we will have to open more branches, hire more relationship managers, spend on branding, etc. Our cost-to-income ratio will shoot up. We need CASA, but there has to be a pace for the organisation. We have high-margin businesses, and the current cost of funds is comfortable.



You aspire to convert into a universal bank. Don't you think it is too early?

The original RBI guidelines suggested a minimum of five years for converting into a universal bank. We have been operating as a scheduled commercial bank for six-and-a-half years.

According to the guidelines, SFBs should have net NPAs of less than 1%, gross NPAs of less than 3%, and a track record of net profits in the last two financial years. It also emphasises a diversified asset book. We meet all these parameters. The licence will help us with liabilities, specifically CASA.

As we move up the pyramid, we need a lower cost of funds. If we don't reduce that, we won't be able to underwrite better-quality assets. **BT**

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change in management signalled new hope and potential. Lastly, a crucial question was whether Jana could successfully start the bank. "We assured investors that the Reserve Bank of India would be supportive, and we had enough resources to commence banking operations," says Kanwal. The SFB finally started operations in March 2018. (See box 'Small Bank, Big Ambitions').

However, before operations began, the first task was to cut costs. Kanwal visited the treasury office in Mumbai's upmarket Worli and found that it had 20 Bloomberg terminals. "Why set up such a large-scale treasury when there was no money to trade?" he wondered. Now, Jana has only two such terminals. "In any turnaround, there is 80% hard work and 20% results initially," he says. Today, the

KANWAL HAS GUIDED JANA SFB FROM A FULLY UNSECURED PORTFOLIO TO A MORE BALANCED LOAN MIX OF 60% SECURED ASSETS

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results show. In FY23, the bank made a profit of a little over ₹256 crore; in FY24, the number grew to nearly ₹670 crore. Going forward, the bank has given a long-term guidance of 20% growth in advances, growth in return on assets (RoA) of 1.8–2%, and profit after tax (PAT) growth of 30–40%, says Abhilash Sandur, Jana's Chief Financial Officer.

But it won't be easy. Jana may face challenges from existing players and new entrants in the microfinance and small business lending space, says Amit Goel, Co-founder & Chief Global Strategist at Pace 360, an asset management company. "Moreover, successfully transitioning from unsecured microfinance (their current strength) to a more diversified loan